

A person wearing a rainbow-colored shirt is standing in the rain, holding a purple umbrella with a floral pattern. They are partially covered by a clear plastic rain poncho. The background features a wall with colorful graffiti, including a large purple leaf-like shape. A large, semi-transparent red circle is overlaid on the right side of the image. The title text is overlaid on the left side of the image.

THE STATE OF PRE-ARRANGED FINANCING FOR DISASTERS 2025

Adam McVie

April 20256

WHAT IS PRE-ARRANGED FINANCING?

Financing that:

- has been approved **in advance** of a crisis
- is guaranteed to be **released to a specific implementer**
- when an eligible event occurs as defined by **pre-identified trigger conditions**

WHAT ROLE DOES IT PLAY?

Pre-arranged financing (PAF) has the potential to significantly increase the predictability, speed and effectiveness of responses to shocks, reducing the human and financial costs.

THE CENTRE HAS BEEN ASSESSING TRENDS IN PRE-ARRANGED FINANCING SINCE 2023

“Pre-arranged financing remains a very small proportion of international crisis financing.”

“(…) is still not reaching the poorest and most vulnerable countries.”



WHY DOES TRACKING PAF MATTER?

Reliable reporting on pre-arranged financing is important for two reasons:

1. Political momentum – tracking growth and trends
2. Transparency and accountability



THE STATE OF PRE-ARRANGED FINANCING FOR DISASTERS 2025

Authors: Michèle Plichta, Zoë Scott and Darshni Nagaria



KEY FINDINGS



Record progress: PAF has increased to an all-time high of USD \$9.4 billion



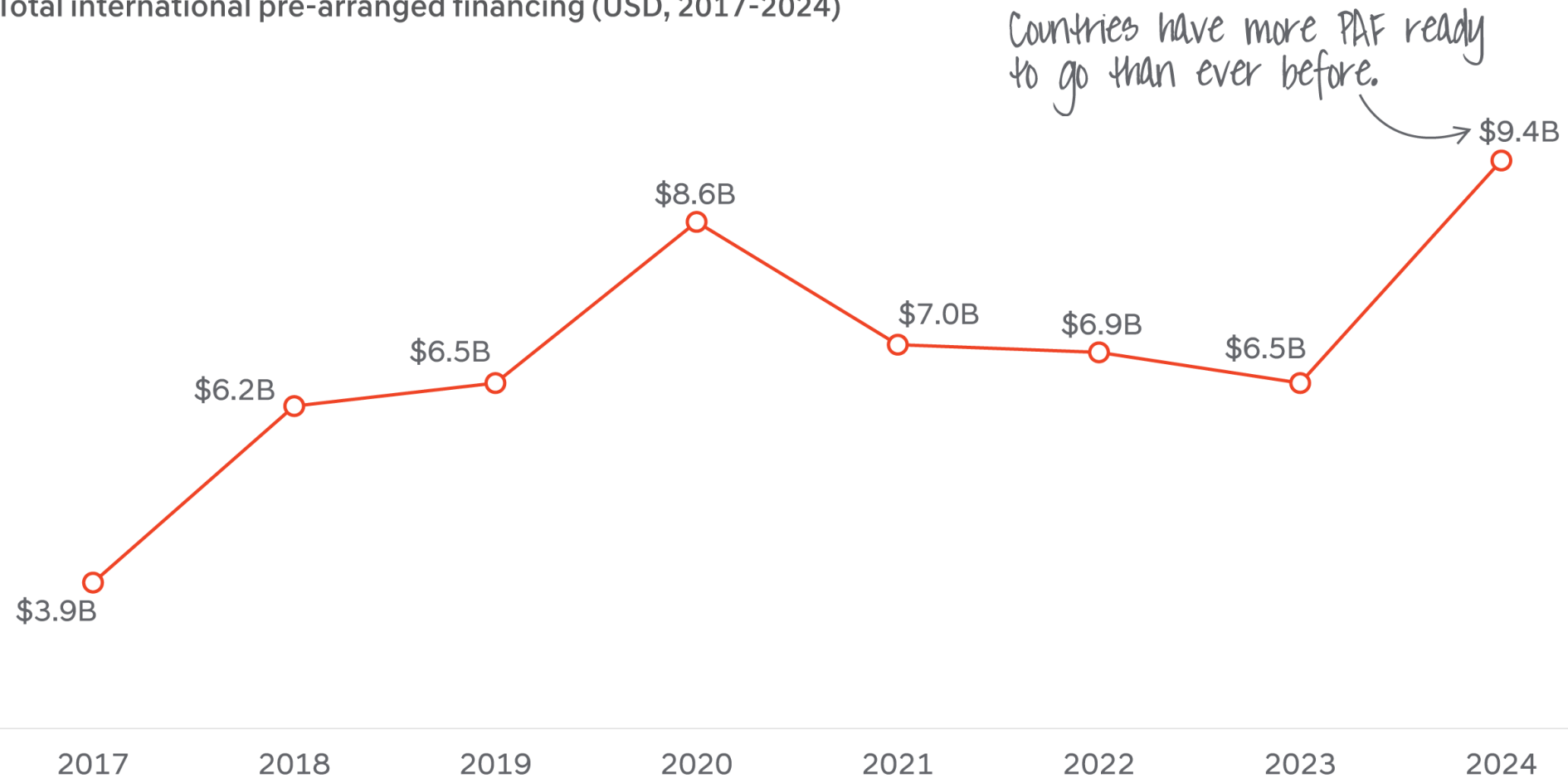
Uneven protection: The most vulnerable still get the least



An evolving landscape: New instruments present new reporting challenges

International pre-arranged financing reached an all-time high in 2024

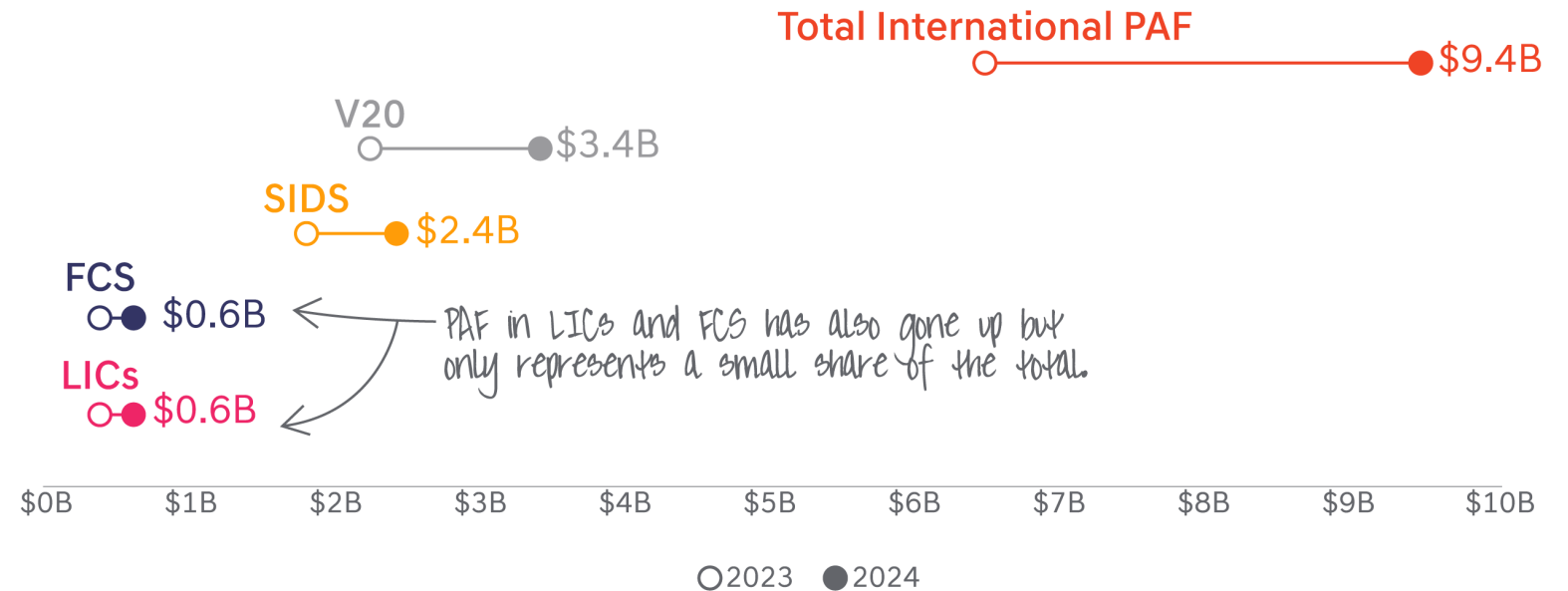
Total international pre-arranged financing (USD, 2017-2024)



GROWTH IN ALL CONTEXTS...

Pre-arranged financing rises globally, but equity gap persists

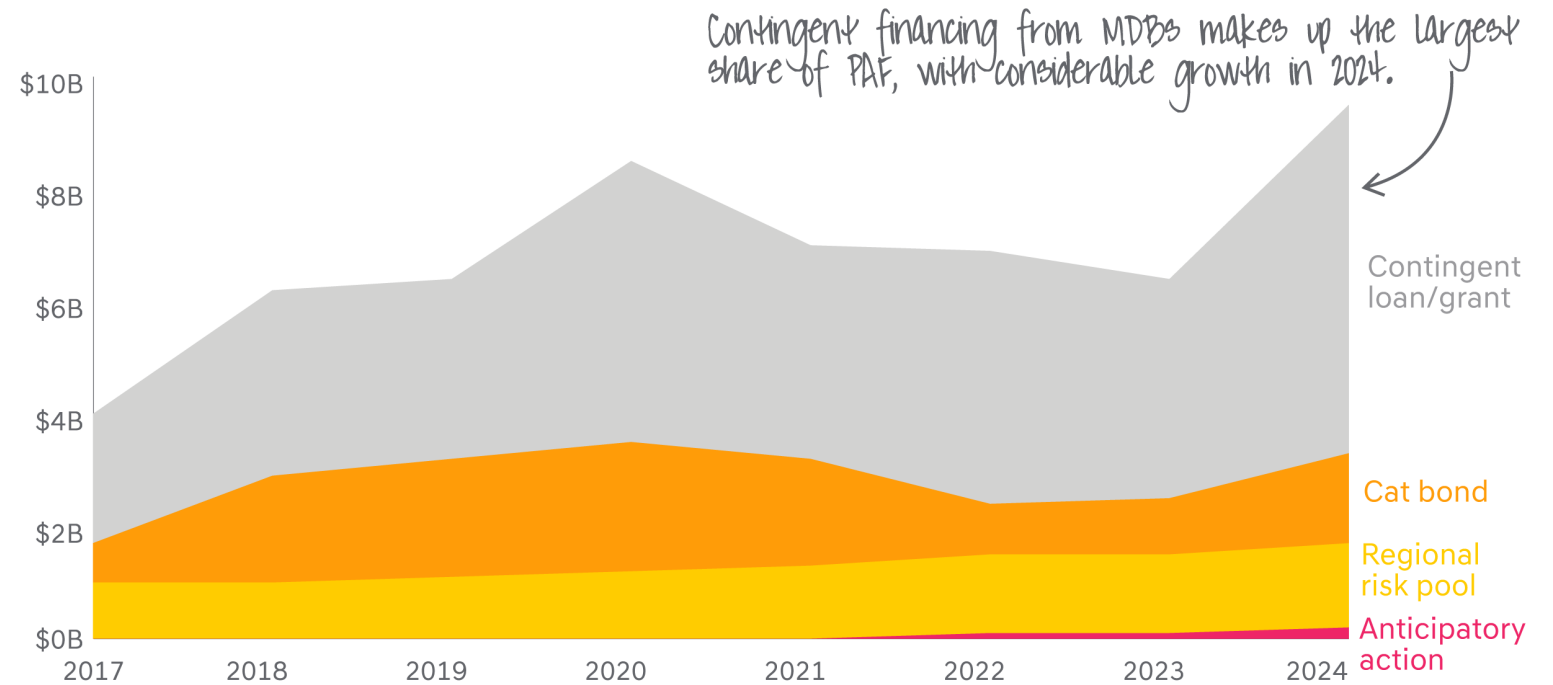
International pre-arranged financing by selected country groups (USD, 2023-2024)



... AND FOR ALL INSTRUMENTS

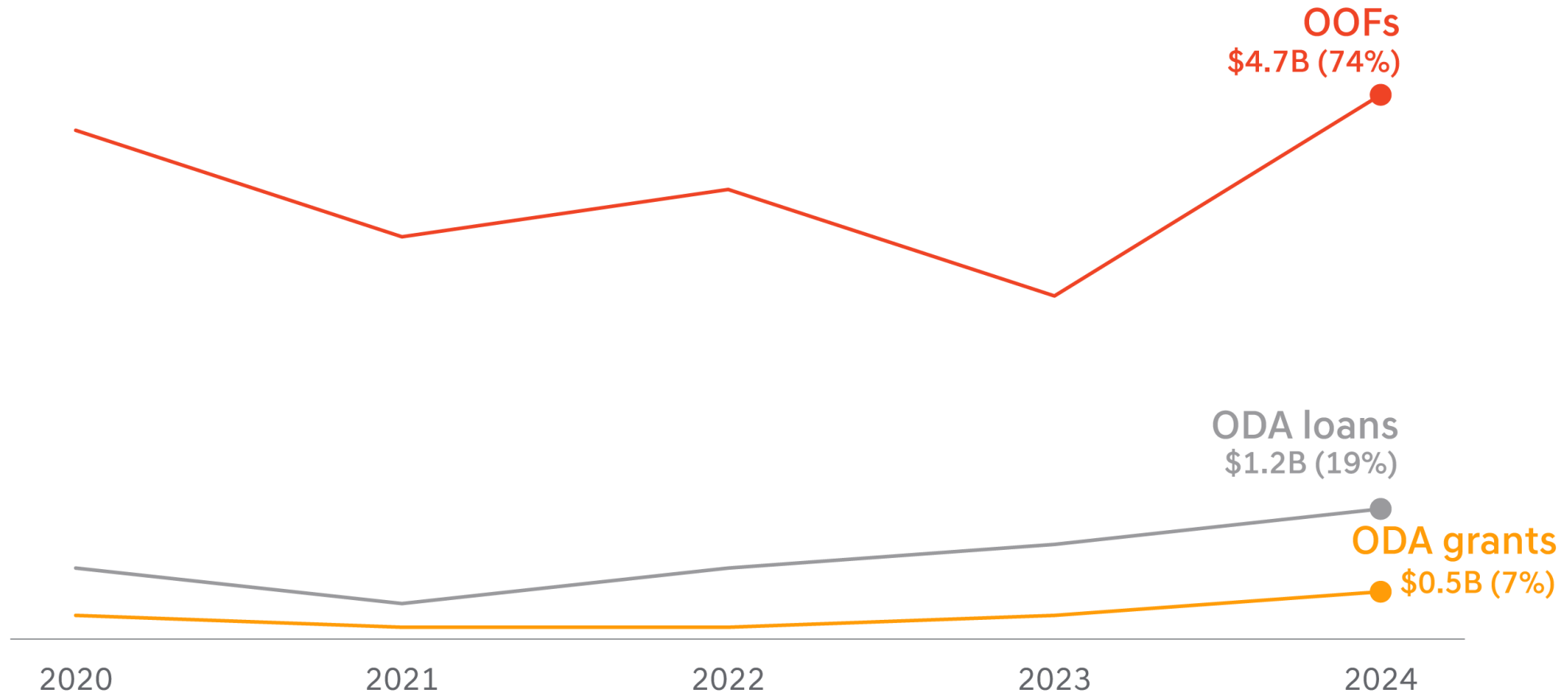
Contingent loans have driven the increase in overall volume of pre-arranged financing

International pre-arranged financing by instrument type (USD, 2017–2024)



Contingent grants have grown over time but multilateral development banks still mostly provide less concessional loans

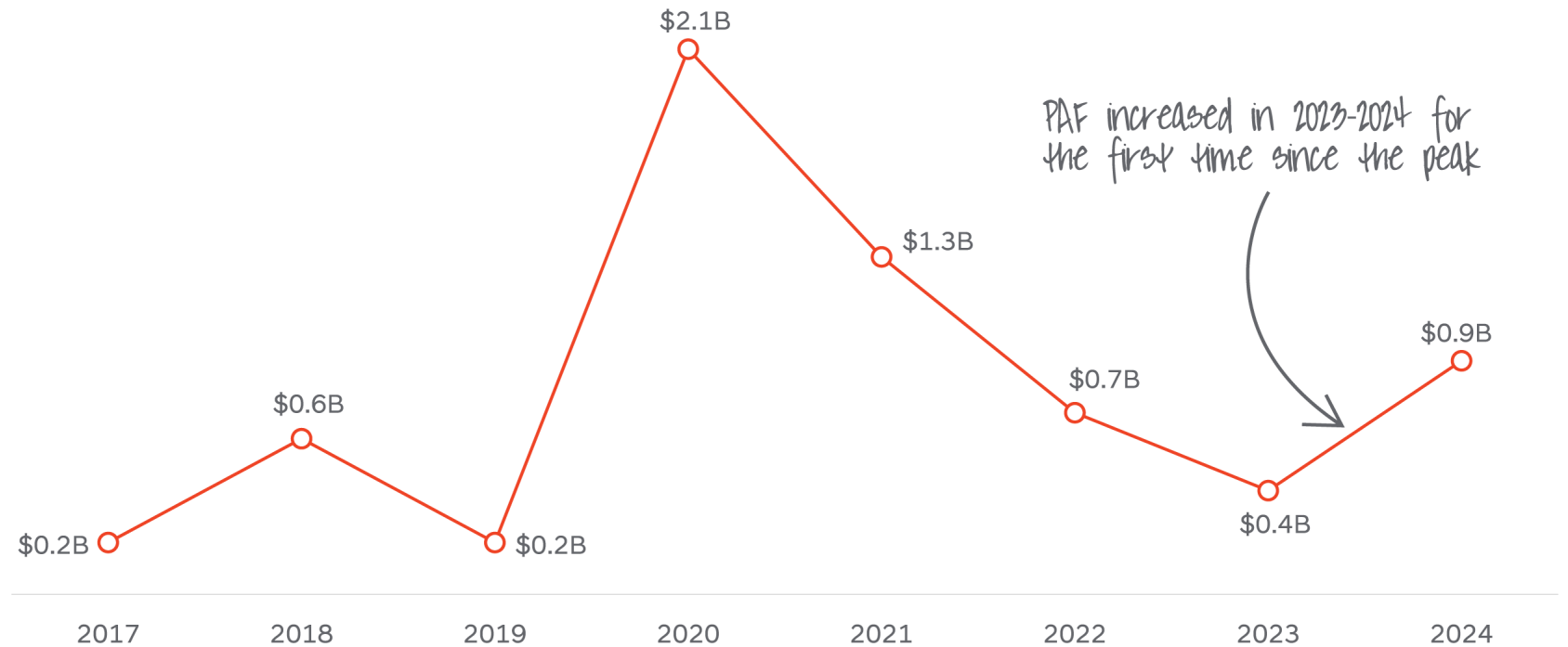
Multilateral development bank contingent loans and grants by financing type (USD, 2020–2024)



PAYOUTS ARE RISING

Pre-arranged financing payouts more than doubled in 2024, after the covid-19 peak

Pre-arranged financing payouts (USD, 2017–2024)



WITH SOME
INSTRUMENTS
BEING MORE
IMPORTANT
FOR LICs

Figure 10: High-income countries received the largest payouts

Pre-arranged financing payouts by country group (USD, 2024)

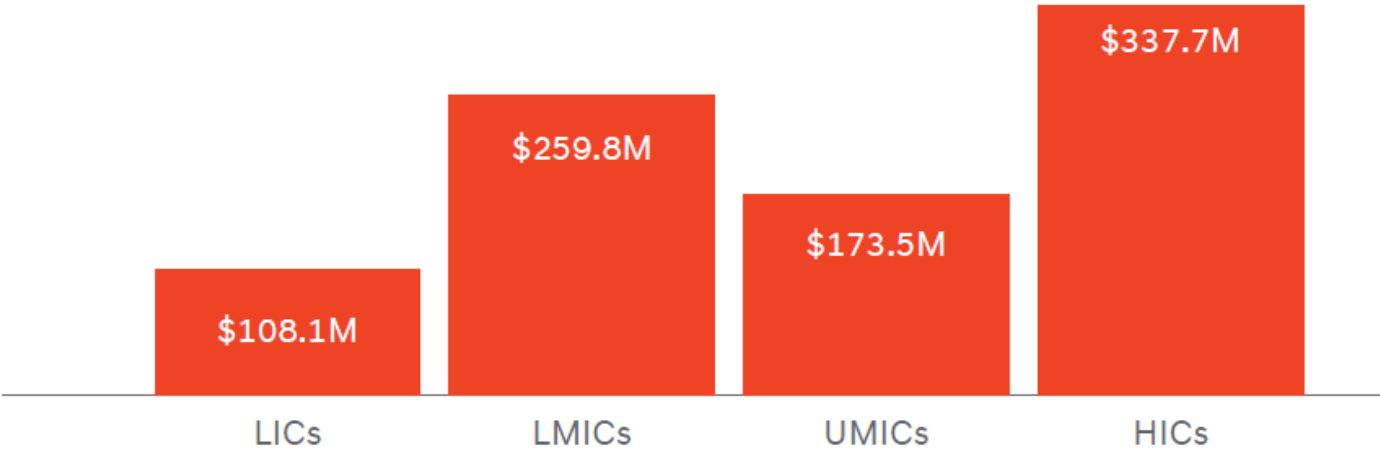
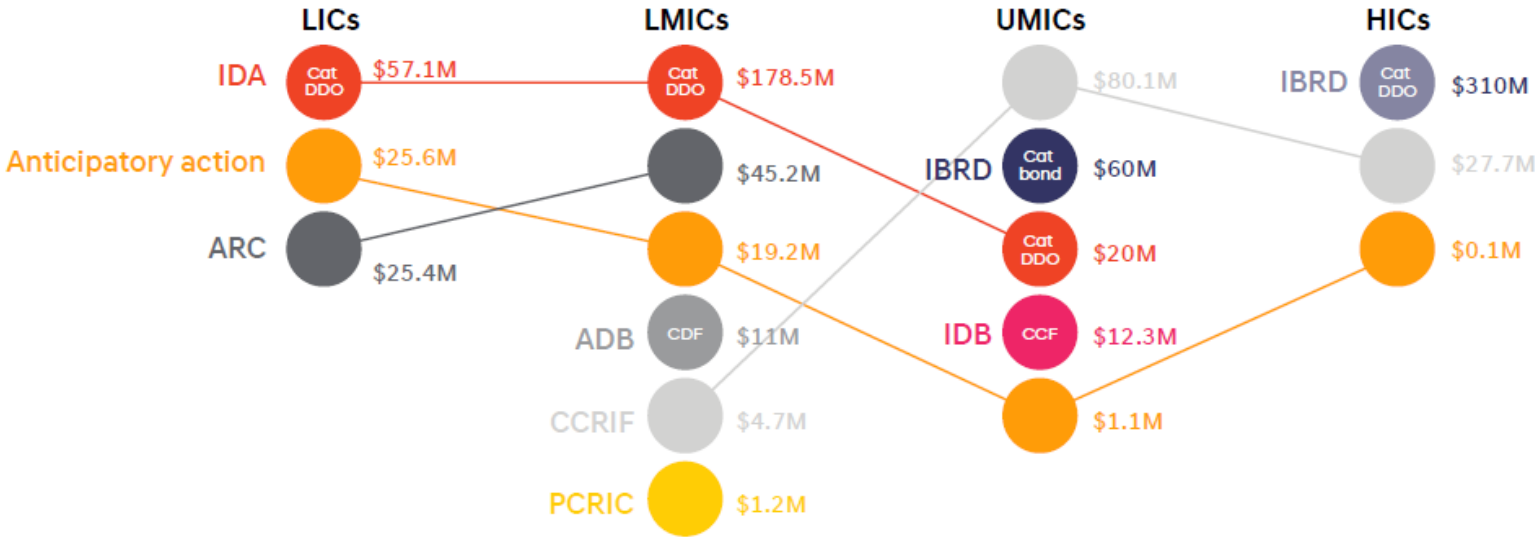


Figure 11: Middle-income countries have the biggest range of instruments that have paid out

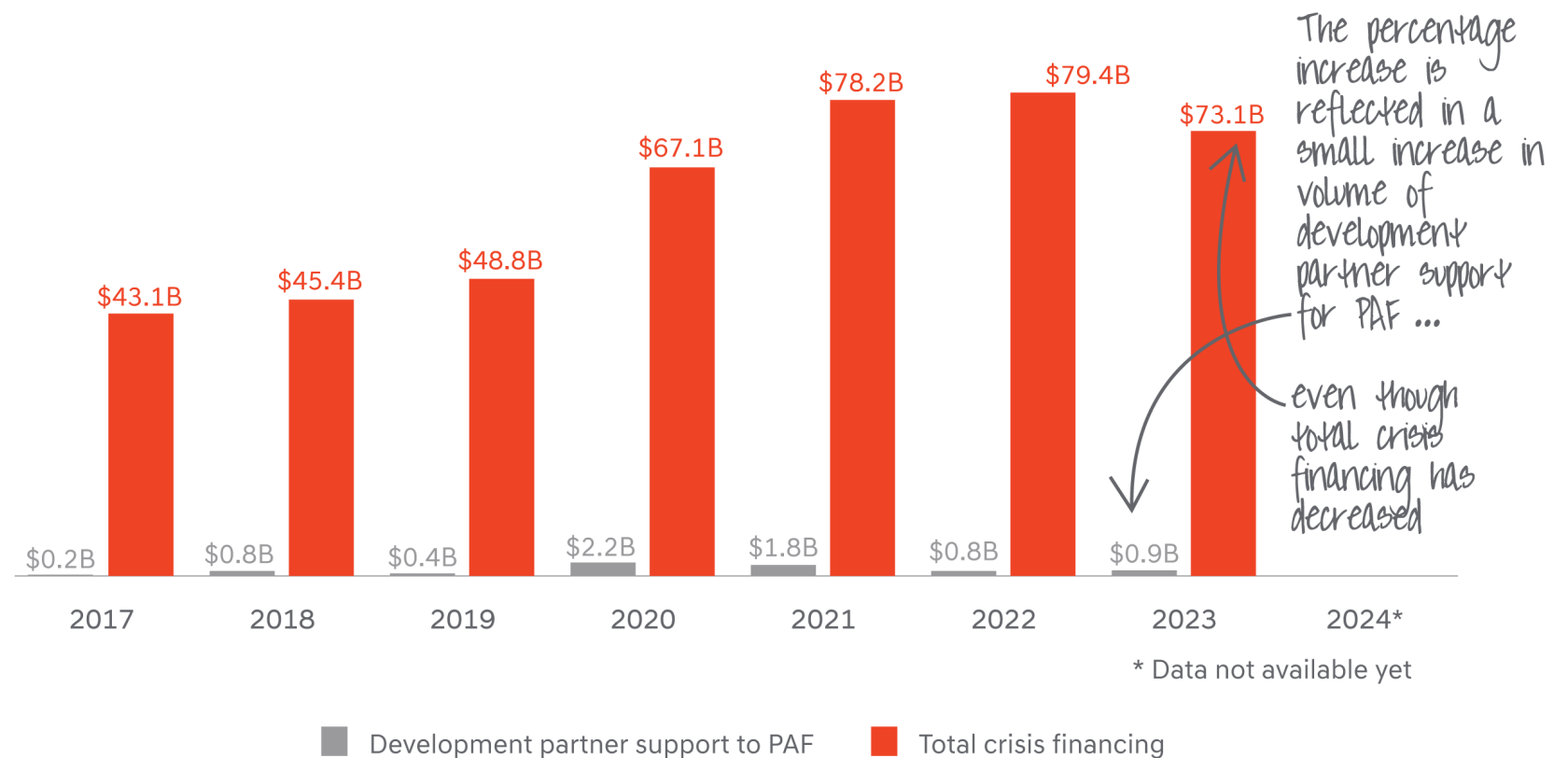
Pre-arranged financing instrument payouts ranked from highest to lowest for each income group (USD, 2024)



DEVELOPMENT PARTNER SUPPORT IS UP AS WELL

Support from development partners grew modestly

Development partner support for pre-arranged financing and total crisis financing (2017–2023)



NEW INSTRUMENTS ARE EMERGING...

- Climate-resilient debt clauses
- World Bank's RRO and CERPs

... we need to find new ways to reflect them



WHERE NEXT?

- **Positive momentum:** International pre-arranged financing is expanding and payouts are rising.
- **Data still lags:** Currently no agreed methodology to reflect the level of protection emerging instruments provide.
- **Transparency matters:** Still a lack of transparency around levels of donor support.
- **A changing aid landscape:** Impact of aid cuts will only *start* to show in next year's reporting.
- **Seeing the big picture:** Our most comprehensive picture to date – critical to build on that going forward.

*The State of Pre-Arranged
Financing for Disasters 2025*

**NOW AVAILABLE ON
OUR WEBSITE**

<https://www.disasterprotection.org/pafreport>

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